SAUDI ARABIA

Table 1	2021
Population, million	34.1
GDP, current US$ billion	841.1
GDP per capita, current US$	24666.9
School enrollment, primary (% gross)[a]	100.2
Life expectancy at birth, years[a]	75.3
Total GHG emissions (mtCO2e)	711.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2020).

The Saudi Arabian economy is on an accelerated growth path in 2022; driven by higher oil and non-oil activities as the oil sector strengthens and pandemic pressures fade. Inflation remains contained with a low passthrough of higher international prices reducing future inflationary pressures. Direct trade flows with Russia and Ukraine are limited; however, higher oil prices as a result of the conflict have strengthened the medium-term fiscal and external outlook. A breakout of new COVID-19 variants, tighter global financial conditions, and volatile oil prices are key risks to the outlook.

Key conditions and challenges

Direct impacts of a prolonged war in Ukraine on Saudi Arabia's economy are limited due to weak trade and investment flows with Ukraine and Russia. However, further sanctions and disruptions to supply chains could adversely affect the Kingdom through slower-than-anticipated global growth and higher import prices. On the upside, higher energy prices and output would further strengthen external and fiscal positions.

Risks to the non-oil sector recovery remain. Especially, those originating from an outbreak of new COVID-19 variants that are vaccine-resistant which would risk movement restrictions and delay recovery. Furthermore, domestic monetary policy is set to tighten further in line with the US monetary policy, which might dampen recovery and job creation. Finally, delays or digressions in implementing structural reforms highlighted in the Vision 2030, perhaps due to international shocks or because of the foreseen comfortable twin-balance surpluses, would reduce prospects for stronger long-term growth and employment.

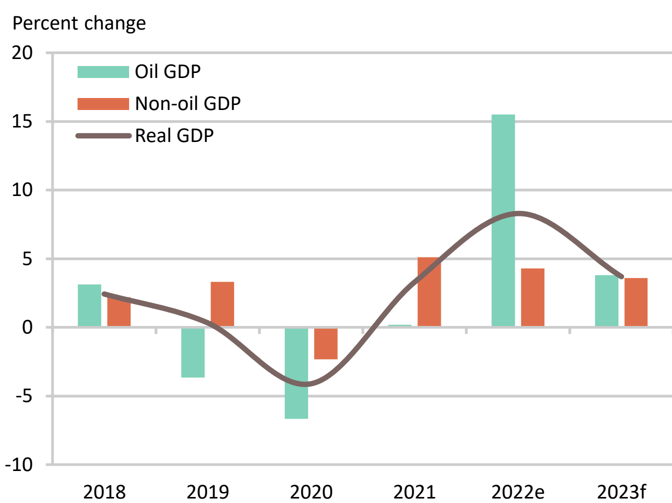
Recent developments

Supported by high vaccination rates and swift COVID-19 response policies, Saudi Arabia continues to recover strongly from the pandemic-induced recession during H1 2022. Furthermore, spillovers of the war in Ukraine via energy markets have benefited Saudi Arabia with oil production increasing faster than originally planned and in line with OPEC+ raising output quotas by 50 percent in July and August 2022.

The latest official data suggest that the economy grew by 11 percent during H1 2022—the fastest growth pace since 2011. This record growth was mainly driven by the oil sector, which registered a rapid 21.6 percent growth rate, reflecting a favorable base effect of the voluntary 1 mbpd output cut initiated by the Kingdom during February and April 2021. Saudi Arabia continued to raise oil production with output estimated to average 10.7 mbpd in July 2022. The non-oil sector also continued recovery registering a 6 percent growth during H1 2022. Recent PMI data suggests that non-oil activity lost some steam in July 2022; however, it continues to be strong and within the expansionary range (50+ mark). Despite increased international commodity prices, headline inflation is contained, averaging 2.1 percent during the first 7 months of 2022. Low passthrough of international prices due to subsidies, e.g. capping of local gasoline prices since July 2021; appreciation of the US dollar; as well as stable housing rents (21 percent of CPI basket), have kept inflation rates at low levels.

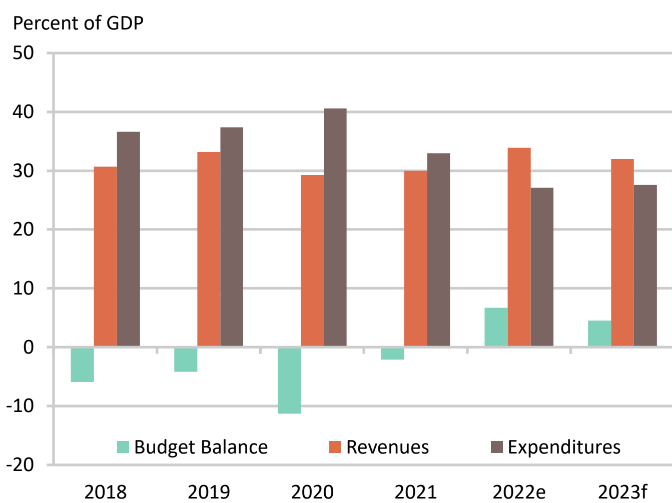
Higher oil revenues and fiscal consolidation measures have shifted the fiscal balance from a deficit of SAR 73 billion (2.4 percent of GDP) in 2021 to a surplus of SAR 135 billion (6.8 percent of GDP) during H1 2022.

FIGURE 1 Saudi Arabia / Annual real GDP growth



Sources: GASTAT Saudi Arabia and World Bank staff estimates.

FIGURE 2 Saudi Arabia / Central government operations



Source: World Bank, Macroeconomics, Trade, & Investment Global Practice.

Thus far, the government refrained from moving towards a looser fiscal stance; with one exception of announcing the relief package of SAR 20 billion (0.5 percent of GDP) to ease pressure on households from inflationary pressures. Public debt remains low and is expected to stay constant in nominal terms as the government plans to refinance the existing debt instead of using the large fiscal surplus to repay it.

Driven by higher oil export receipts and the recovery of religious tourism, the current account remains firmly in surplus registering SAR 131 billion (6.6 percent of GDP) during H1 2022, raising net foreign assets.

There is no publicly available information on official poverty rates in Saudi Arabia and access to microdata from household surveys is limited. The effort to increase the number of Saudis working in the private sector continued to pay off. According to administrative data, the number of Saudi nationals employed in the private sector in Q4 2021 reached 1.91 million, up from 1.8 million in Q1 2021 and 1.72 million in Q1 2020. By contrast, the number of non-Saudi nationals employed in the private sector decreased to 6.17 million in Q4 2021 from 6.67 million in Q1 2020.

Labor force participation of Saudi women continued to increase from 26 percent in Q1 2020 (and 32 percent in Q1 2021) to 34 percent in Q1 2022. Overall, unemployment among Saudi nationals stood at 10 percent in Q1 2022, down from 11.7 percent in Q1 2021. Official estimates from the Labor Force Survey (LFS) show a decrease in average wages between Q1 2021 and Q1 2022 (-2.6 percent in real terms). The decrease was higher among Saudi nationals (-8.9 percent) than among non-Saudis (-2.2 percent). Wage disparities by gender and nationality persist; the average wage of Saudi men is 41 percent higher than among Saudi women, 145 percent higher than among non-Saudi men, and 328 percent higher than among non-Saudi women.

Outlook

Growth is expected to accelerate to 8.3 percent in 2022 before moderating to 3.7 and 2.3 percent in 2023 and 2024, respectively. In spite of recent signals for a more cautious approach to OPEC+ planned production, the oil sector will remain the main driver behind this growth with output estimated to grow by 15.5 percent in 2022. The non-oil sector is expected to continue its growth trajectory, estimated at 4.3 percent in 2022 supported by the economic relief package before moderating to 3.4 percent in coming years. Despite headwinds from tighter fiscal and monetary policies in the medium term, stronger private consumption, an increase in religious tourism, and higher domestic capital spending—signaled through the PIF and other state agencies—are anticipated. Headline inflation is expected to stay subdued during 2022 and hover around 2.5 percent as a result of a stronger US dollar, subsidies and price controls, and stable rents. Inflation is expected to average 2.3 percent in the medium term.

The budget balance should register a surplus of 6.8 percent of GDP in 2022—the first surplus in nine years—driven by higher oil receipts. Fiscal performance in the medium term is underpinned by the authorities' commitment to compress expenditures and build credible fiscal frameworks. With most capital spending channeled through the PIF, the overall fiscal stance is more expansionary than officially reported by the budget.

Higher oil receipts are expected to more than compensate for the larger imports bill resulting in a significant external balance surplus of 18.8 percent of GDP in 2022. The surplus is expected to continue, but narrow, over the medium term to an average of 13.1 percent of GDP.

TABLE 2 Saudi Arabia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2019	2020	2021	2022e	2023f	2024f
Real GDP growth, at constant market prices	0.3	-4.1	3.2	8.3	3.7	2.3
Private Consumption	4.5	-6.3	9.7	3.0	3.1	2.8
Government Consumption	-3.2	4.1	-0.2	0.0	0.3	3.5
Gross Fixed Capital Investment	0.7	-11.7	10.1	6.4	7.2	3.3
Exports, Goods and Services	-5.0	-10.2	2.0	18.3	5.1	2.0
Imports, Goods and Services	9.6	-19.8	3.3	7.6	5.4	4.3
Real GDP growth, at constant factor prices	0.3	-4.1	3.3	8.2	3.7	2.3
Agriculture	1.2	-1.7	2.6	3.0	2.0	2.0
Industry	-2.2	-6.0	1.7	10.4	2.8	0.9
Services	3.9	-1.7	5.3	5.9	4.9	4.1
Inflation (Consumer Price Index)	-1.2	3.4	3.1	2.5	2.5	2.0
Current Account Balance (% of GDP)	5.0	-3.3	5.3	18.8	15.6	10.5
Fiscal Balance (% of GDP)	-4.6	-11.5	-2.4	6.8	4.5	2.5
Debt (% of GDP)	23.0	34.0	30.8	23.7	23.6	23.0
Primary Balance (% of GDP)	-3.9	-10.5	-1.5	7.7	5.4	3.4
GHG emissions growth (mtCO2e)	1.1	-2.7	1.0	2.9	1.6	0.9
Energy related GHG emissions (% of total)	69.1	69.2	69.5	69.4	69.4	69.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.